MODULE 32 · DOMAIN 3 - BUSINESS ENVIRONMENT

# Ethics and professional conduct

PMI's four values, the 2025 update to the Code, a framework for dilemmas, and the situations the exam uses to test them.

DOMAIN III - Business Environment  EXAM WEIGHT 26%  MODULE 32 of 49

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On ethics, the right answer is **not negotiable**. But it is still delivered with care.

# PMI's four values

| VALUE | MEANS | ON THE EXAM, LOOKS LIKE |
|---|---|---|
| Responsibility | Owning decisions and consequences | Admit mistakes; report misconduct |
| Respect | High regard for people and resources | Listen; negotiate in good faith |
| Fairness | Impartial, objective decisions | Disclose conflicts; treat bidders equally |
| Honesty | Understanding and acting on the truth | Report accurately; keep commitments |

ON THE EXAM

Every ethics question maps to one of these four. Name the value, and the answer usually follows.

# Responsibility in practice

- Take on work only within your **competence**, or be open about gaps and how you will close them.
- Keep commitments, and own mistakes openly, then fix them.
- Protect **confidential** information and respect **intellectual property**, including software licences.
- Report unethical or illegal conduct through the appropriate channel.

> ON THE EXAM
>
> Seeing a breach and staying silent is itself a failure of responsibility.

# Respect in practice

- Listen to understand other points of view, including in conflict.
- **Negotiate in good faith**; never mislead the other side.
- Respect **cultural norms**, while staying within the Code and the law.
- Never use position or expertise to intimidate, or for personal gain.

> ON THE EXAM
>
> Respect covers the powerless as well as the powerful: suppliers, junior staff, communities.

# Fairness in practice

- **Disclose** any real or potential **conflict of interest**, and step back from the decision.
- Give every bidder the same information and the same chance, as module 24 described.
- Allocate opportunities, rewards and work on merit, not favouritism.
- Deciding fairly while hiding a conflict still breaks the Code. The disclosure is the point.

> ON THE EXAM
>
> A conflict of interest is disclosed first, then managed. You do not get to judge your own objectivity.

# Honesty in practice

- Report status, forecasts and risks **accurately**, including bad news (module 15).
- Make commitments in good faith, and do not create false impressions.
- Be accurate about your own qualifications and experience.
- Help create an environment where others feel safe to tell the truth.

> ON THE EXAM
>
> Leaving something out to mislead is still dishonest. Accuracy includes completeness.

# What the 2025 update brought

- The updated Code took effect on **17 November 2025**. The four values are unchanged.
- It applies to all members, volunteers, certification holders and **certification applicants**.
- Commentary on the update highlights **responsible use of technology and AI**, and **sustainability**.
- Read the current Code on pmi.org. It is short, and the exam is built on the version in force.

> ON THE EXAM
>
> Same four values, applied to today's realities: AI, data and long-term impact.

# PMI's Ethical Decision-Making Framework

01
### Assessment
Get the facts. Is it legal? Does it fit the Code and your values?

›

02
### Alternatives
List the options, not just the first one.

›

03
### Analysis
Who is affected, and how? Would it survive being made public?

›

04
### Application
Apply ethical principles to choose.

›

05
### Action
Act, take responsibility, and accept the consequences.

ON THE EXAM

Facts before judgement, options before choice. The same discipline as the answer ladder.

# Classic dilemmas and the right move

| SITUATION | THE MOVE |
|---|---|
| A bidder offers a valuable gift | Decline; follow the gifts policy; disclose if needed |
| A relative's company is bidding | Disclose; remove yourself from the evaluation |
| Asked to hide a problem or alter a report | Talk to the person; report accurately anyway |
| Unlicensed software or copied material found | Stop the use; inform the right people; put it right |
| A colleague breaks the Code or the law | Report through the appropriate channel |
| Confidential data put into a public AI tool | Stop; assess the breach; follow data policy; set guidelines |

ON THE EXAM

In every row, the answer is firm on the principle and follows the proper route.

# When local custom and the Code differ

- Where local law, organisational policy and the Code differ, follow the **strictest**.
- **Bribery** is not made acceptable by being customary somewhere. Many countries' laws apply abroad too.
- Small, customary courtesy gifts may be acceptable if policy allows and they are disclosed.
- When unsure, ask the organisation's legal or ethics function before acting.

> ON THE EXAM
>
> Respect for culture never extends to breaking the law or the Code.

# Project Lantern: an ethics moment

- During kiosk selection, one supplier invited the project manager to a hospitality box at a football match.
- The project manager **declined**, recorded it under Northgate's gifts policy, and told procurement.
- Later, a clinic manager's partner turned out to work for a bidding supplier.
- The clinic manager **disclosed** it, and was removed from that evaluation panel. No drama; just the process.

> ON THE EXAM
>
> Ethics is mostly routine: decline, disclose, record, step back. The drama comes from skipping those steps.

> During the evaluation of bids for a software contract, a bidding supplier's account manager offers the project manager two expensive concert tickets.
>
> The account manager says the tickets are 'just a thank you for your time, nothing to do with the bid'.

## What should the project manager do?

A Decline the tickets, and follow the organisation's gifts policy, disclosing the offer if required.

B Accept, since the concert is outside working hours.

C Accept, but make sure the evaluation is not influenced.

D Accept, and give the tickets to team members instead.

◆ PAUSE AND DECIDE

## What should the project manager do?

**A** Decline; follow policy; disclose.

Protects fairness to every bidder, and the appearance of fairness too.

**B** Accept: outside hours.

*Timing does not change who gave it or why.*

**C** Accept, stay objective.

*You cannot judge your own objectivity. Other bidders will not believe it either.*

**D** Give them to the team.

*The organisation still accepted a valuable gift from a bidder.*

THE SIGNAL

A valuable gift from a bidder during evaluation: decline and disclose. Intent does not matter.

> A project manager is on the panel evaluating bids for a construction contract. One of the bidders is a company owned by the project manager's brother-in-law.
>
> The project manager is confident they can evaluate it objectively.

## What should the project manager do?

A. Evaluate all bids fairly, without mentioning the relationship.

B. Disclose the relationship to the sponsor and procurement, and withdraw from evaluating.

C. Reject the brother-in-law's bid, to avoid any appearance of bias.

D. Resign from the project.

◆ PAUSE AND DECIDE

## What should the project manager do?

A Evaluate without disclosing.

*Hides a conflict of interest. Confidence in your own objectivity is not the test.*

B Disclose and withdraw.

Fairness: disclose the conflict first, then step back from the decision.

C Reject that bid.

*Unfair to the bidder, who may offer the best value. Bias in reverse.*

D Resign.

*Disproportionate. Disclosure and withdrawal from this decision are enough.*

THE SIGNAL

A conflict of interest: disclose, then step back. Neither hide it nor overcorrect.

> A project manager discovers that several team members have been using unlicensed copies of a design software package to save the project money.
>
> The team lead says 'everyone does it, and the vendor will never find out'.

## What should the project manager do?

A Ignore it, since the savings help the budget and the risk is low.

B Quietly buy licences later if the budget allows.

C Stop the unlicensed use, inform the appropriate managers, and obtain proper licences.

D Tell the team not to mention it to anyone.

◆ PAUSE AND DECIDE

## What should the project manager do?

A Ignore it.

*Knowingly allows an intellectual property breach and a legal risk.*

B Buy licences later, quietly.

*The breach continues meanwhile, and 'if the budget allows' may be never.*

C Stop, inform, license properly.

Responsibility: respects intellectual property and reports the problem.

D Tell the team to keep quiet.

*Concealment turns a mistake into deliberate misconduct.*

THE SIGNAL

'Everyone does it' is never an ethical defence. Stop it, report it, fix it.

> A team member pasted a client's confidential contract into a free public AI chatbot to get a quick summary. The organisation has a data policy but no specific AI guidance.
>
> The team member did not realise this might be a problem.

## What should the project manager do?

A Take no action, since the team member meant well.

B Ban all use of AI tools on the project permanently.

C Delete the chat history and move on.

D Stop further use, assess the breach under the data policy and client obligations, and set clear AI-use guidelines.

◆ PAUSE AND DECIDE

## What should the project manager do?

A No action.

*Good intent does not undo a possible breach of client confidentiality.*

B Ban AI permanently.

*Overreacts, and does not deal with the breach that has already happened.*

C Delete and move on.

*Deleting a chat does not recall data already shared, and hides the incident.*

D Stop, assess under policy, set guidelines.

Handles the breach responsibly and prevents the next one.

THE SIGNAL

A confidentiality slip with a new tool: contain it, handle it through policy, then guide everyone.

Firm on the principle. **Careful in the approach.** Decline, disclose, report, record.